

TPG pitch deck

PITCH — TPG — VERDICT

PROPOSED — PENDING ADJUDICATION — no entry on this record: the long case survives the attack on the merits but has no stated fair value and no price gate, so we hold flat at \$49.87 and re-court on the September TCAP filing and a management-fee-multiple comparison.

What we believe

TPG Inc. (the listed alternative asset manager, ~\$327B under management) is being lumped into a fear that structurally does not reach it.

The fear across the private-credit complex in 2026 is a run on *redeemable* money: the semi-liquid, retail-distributed credit funds that promise quarterly liquidity are hitting their repurchase caps. Ares' \$22.6B non-traded fund (ASIF) limited withdrawals again — 14.4% of shares requested in Q2, against a ~5%/quarter cap. That is a real, visible, repeated event, and it has re-priced the whole sponsor group.

TPG's exposure to that channel is one vehicle: TCAP, with \$2.69B of net assets. That is 0.8% of TPG's assets under management. Almost all of the rest of TPG's credit business (Angelo Gordon / Twin Brook direct lending) is drawdown fund capital — money that is legally locked and carries **no redemption right at all**. Investors cannot ask for it back, so the run mechanism has nothing to act on.

So: the transmittable base of the fear is roughly TCAP alone, and TCAP is (a) tiny, (b) still net-raising — net assets went \$2,384.9M → \$2,687.5M in six months *after* paying out repurchases, and shares outstanding rose 106.6M → 109.7M in six weeks.

Meanwhile the underlying business printed a strong quarter. Q2 2026 GAAP revenue was **\$1,841.4M vs \$920.5M** a year earlier, and accrued-but-unrealized carried interest ("capital allocation-based income") went **\$351.5M → \$1,136.5M**. Diluted EPS \$0.39. Primary source: [TPG 10-Q, Q2 2026 income statement](#)

The stock is \$49.87, 27% below its 52-week high of \$68.56, and only +1.8% above where it closed on the day it reported.

What the market believes

Two things, and they are not the same thing.

1. **Sell-side:** 16 covering analysts, all Buy, average price target \$60.50, ~16x forward earnings. The street is not bearish. It broadly agrees TPG is not damaged.
2. **The tape:** short interest is ~12.3M shares, roughly 7.7% of the 160.1M Class A shares (~8.5% of tradable float) — high for a name every analyst likes. And the stock will not hold a rally: it spiked

+8.5% on 8/13 (to \$55.21) on no company filing other than a passive ownership amendment, then gave the entire move back — at \$49.87 it now trades *below* the pre-spike close of \$50.88.

So the market's revealed belief is: the earnings are fine, but somebody keeps selling. The most likely explanation is mechanical supply — TPG's partners convert private units into listed Class A shares on a recurring schedule (6.0M on 5/29/26, 7.0M on 8/14/26; ~13.0M so far in 2026 after ~35.9M in 2025). That is ~17% annual growth in the listed share count, not from issuing new stock but from existing owners moving into the tradable class.

Why we might have edge

- **The sign of the TCAP fact.** Both of our benches agreed TCAP is 0.8% of assets. Our attacking bench read that as “too small to prove anything.” That is backwards: because locked drawdown capital cannot be redeemed, 0.8% is not a *sample* of the exposed money — it is approximately *all* of it. Small exposure is the thesis, not a weak version of it. This is a reasoning inversion that a screen sorting sponsors by “private credit exposure” would make the same way.
- **Fund-structure literacy.** Comparing TCAP's ~2% repurchase rate to ASIF's 14.4% without adjusting for fund age and size is what the sell-side note does. We know that comparison is contaminated (below) — but we also know *why*, which lets us read the September filing correctly instead of reacting to a headline number.
- **A visible, dated, near-term resolution.** TCAP publishes its repurchase results on a roughly quarterly cadence (5 Mar 2026, 2 Jun 2026 → next expected early-to-mid September). Most of the group's fear has no scheduled resolution; this one does.
- **The rally is unpaid.** As of \$49.87 we would be buying at essentially the post-earnings price, not chasing.

Why it might be priced in

Stated plainly, because this is the stronger half of the argument today:

- **We are not variant with the street.** 16 Buys, \$60.50 target. Our “damage-absent” conclusion is consensus. Being right alongside everyone is not edge.
- **We have no fair value.** Neither bench produced one. Without a number, “cheap” is an assertion, and a price gate cannot be set honestly. This alone is disqualifying under our own rules.
- **The TCAP series is genuinely deteriorating.** The actual repurchase schedule reads 0.40% → 1.70% → 1.30% → **2.10%** (June 2, 2026). The bull brief's “≤2% since inception, 100% honored” was a cumulative statistic that hid a rising latest print. TCAP may simply be earlier in the same cycle as ASIF, not immune to it.
- **The September catalyst is asymmetric against us.** A benign print (~2%, fully honored) is already what everyone assumes; only a bad print carries new information. We would be buying ahead of an event whose good branch pays nothing.

- **The balance sheet moved the wrong way and nobody explained it.** Debt obligations went \$1,722.5M → \$2,343.7M in the first half (+\$621M) against \$944.7M of cash, while total equity fell \$394M. How much of that sits at consolidated fund vehicles versus the parent is unresolved.
- **Persistent share supply.** ~17%/yr growth in listed shares from partner conversions is a real headwind that recurs on a schedule.
- **Crowded, not undiscovered.** Sixteen analysts raised targets after the print. The refutation we would be paid for has already been published.

What we checked ourselves

Including, explicitly, where our own two benches got it wrong.

Claim	How checked	Found	Confirmed?
Share count / market cap	10-Q cover page, direct fetch	160,109,058 Class A + 6,605,963 non-voting + 217,809,708 Class B = 384,524,729 @ 7/31/26	Confirmed — and our brief was wrong. The brief said 377.9M; it dropped the non-voting class entirely. At \$49.87 the cap is \$19.18B.
Market cap stated in the courts	Live tape vs bench filings	Both benches priced off the 8/18 close of \$52.02; live tape is \$49.87 (8/19, IBKR gateway), -4.1% in one session	Confirmed — both benches stale. The attacking bench's "\$20.00B cap" is a stale-price artifact.
"No audited 2026 quarter exists" (attacking bench)	Pulled the 10-Q financial statements directly	The Q2 2026 GAAP statements are public and readable	Refuted — that was a fetch failure presented as a fact. Our attacker asserted absence from its own inability to retrieve.
TCAP is 0.8% of assets under management, therefore its calm proves nothing	TCAP 10-Q net assets \$2,687,535k ÷ \$327B	Arithmetic correct; inference inverted	Half-confirmed. The number is right, the conclusion was backwards — see "Why we might have edge."
"TCAP's 2.1% figure is as of March 31, 2026 — the brief used a stale quarter"	TCAP's schedule of share repurchases, line by line	The 2.10% row is dated June 2, 2026 (\$25.20/sh, \$52,523k, 2,088,333 shares). The March 5 row is 1.30%	Refuted. Our attacking bench mistook a tender-offer record date for the measurement period, then accused the brief of the error it was making.
"Repurchase payable grew +149% — an independent second warning"	Same filing, cross-referenced to the repurchase schedule	\$21.1M → \$52.6M is real, but \$52,625k ≈ the \$52,523k June 2 repurchase itself	Half-confirmed. Real datum, double-counted — one fact restated in two

Claim	How checked	Found	Confirmed?
			currencies and scored twice. Scaled to net assets it still doubles (0.89% → 1.96%), so severity is reduced, not eliminated.
ASIF comparator at 11.6%	Reuters / company 8-K	Actual Q2 figure is 14.4% on \$22.6B	Confirmed — our brief used a stale quarter. This <i>widens</i> the gap it was cited to close, so it cuts for us, but the brief was sloppy.
Size/vintage confound in the TCAP-vs-ASIF comparison	Fund sizes, offering status, share growth	TCAP is \$2.7B and still raising (+3% shares in six weeks); ASIF is \$22.6B and seasoned, with 2022–23 investors now seeking liquidity	Confirmed — a fair hit on us. The comparison is contaminated. It reduces the strength of the evidence; it does not reverse it.
+22% in 12 sessions off the print”	Daily closes	7/31 \$43.66 → 8/18 \$52.02 = + 19.1% ; from the 8/4 print close \$48.98 = + 6.2% ; the run started <i>before</i> the print	Refuted — our brief overstated the tape. At \$49.87 the point is moot: we are +1.8% from the print close.
“We are demonstrably below the street: \$2.76 vs \$3.21”	Q2 after-tax distributable earnings \$0.69 × 4	The multiplication is right; the method is not	Refuted as stated. Annualizing one quarter ignores that this industry’s earnings are back-half and Q4 weighted. Neither bench ran the seasonality check — so we have no honest full-year number of our own, in either direction.
“H2 upside can only come from realizations that management deferred”	Accrued carry line, 10-Q	The carry pool that funds future realizations roughly tripled year over year (\$351.5M → \$1,136.5M)	Refuted. The fuel is there; the timing is not ours to call.
The 8/13 +8.5% one-day spike	Filing index for that date	Only a passive ownership amendment filed. Move now fully retraced (\$49.87 < \$50.88 pre-spike)	Unexplained by either bench. The attacker scored it as a defect; unexplained <i>unpaid</i> moves are entry conditions, not defects — but we still do not know what caused it.

Claim	How checked	Found	Confirmed?
Partner unit conversions are dilutive	Up-C structure check, exchange schedule	Total units constant; only the listed class grows. Tax-receivable liability \$686.2M vs \$694.6M — flat, not accelerating	Confirmed non-dilutive. It is supply pressure, not economic damage. Both benches understated the rate: ~17%/yr float growth.
Balance sheet	10-Q balance sheet	Debt \$1,722.5M → \$2,343.7M (+\$621M in H1); cash \$944.7M; total equity – \$394M	Confirmed as figures, unresolved as meaning. How much sits at consolidated fund vehicles vs. the parent is not determined. Neither bench opened the balance sheet until the second pass.
Trading liquidity / average daily volume	Attempted	Not available — the broker data connection was not permissioned for either bench	Not checked. Any claim about whether ~7M shares/quarter of supply is absorbable is unverified.
Fee-earnings valuation vs. peers (Ares, Blackstone, Apollo)	Attempted	Not run by either bench	Not checked. This is the single missing test that would turn the thesis into a price.

PROPOSED ENTRY BANDS

Both benches say do not initiate on this record. So this section states reopen conditions, not an order.

The reason is not the price — it is that no one produced a fair value. Under our own rule, a thesis with no stated fair value gets no price gate. Everything below is conditional and takes its numbers from the benches' own arithmetic.

Current position: none. Open orders: none. Pre-catalyst stance: flat.

Reopen Band A — starter, requires an unrun test to pass first - Trigger: price $\leq$ **\$50.00** and a fee-earnings comparison shows TPG at $\geq$ **25% discount** to Ares / Blackstone / Apollo on management-fee profits alone (i.e., the discount sits in the recurring fee stream, not in uncertain carry). - Size: **0.5% of book**, one tranche. - Note honestly: the price half is already satisfied at \$49.87. The valuation half has never been run. **We are not entitled to the entry until it is.**

Reopen Band B — add, requires the September event to clear - Trigger: TCAP's next repurchase disclosure prints $\leq$ **2.0% of shares, fully honored, with the repurchase payable flat**

or lower than \$52.6M, and price $\leq$ \$52.00. - Size: add **0.5%**, taking the position to **1.0% of book maximum**. - The 1.0% ceiling holds until a fair value exists. No fair value, no larger size.

Disqualifiers — no entry, close the file for one quarter - TCAP's September disclosure prints **>2.5%**, or introduces any pro-ratio or gating language. - Price closes **below \$43.66** (the 7/31 base from which the entire post-earnings move began). That would mean the re-rating fully unwound and something we do not understand is driving it. Re-court from scratch; do not average down mechanically.

Paid-away condition - Price **above \$52.02** (the 8/18 close) before the fee-earnings test is run: the entry was in the dispersion, and the dispersion is gone. Stand down rather than chase.

Exits / trims: none defined, because we hold nothing and have no fair value. The street's \$60.50 target is *not* our fair value and must not be used as an exit. If we enter under Band A, an exit level is owed within that same session.

Catalyst dates - **~early-to-mid September 2026** — TCAP quarterly repurchase disclosure. **Date inferred** from the March 5 / June 2 cadence; **not confirmed** by any company announcement. This is the decisive near-term event. - **2026-11-04** — TPG Q3 earnings. **Derived from a data vendor, not confirmed** by a TPG press release. ~53 trading days out; not near enough to change today's stance.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 52.0 (deck-provisional: Band B add level, valid only after TCAP's September disclosure prints $\leq 2.0\%$ fully honored with repurchase)
- filing watch: 8-K,424B3 until 2027-02-15 (deck-provisional: TCAP (CIK 1913724) quarterly repurchase schedule — the decisive near-term event; series has run 0.40%/)
- dated pack TPG|2026-09-10: TPG: TCAP quarterly repurchase disclosure — date INFERRED from the Mar 5 / Jun 2 cadence, no company announcement names it (date confirmed=F)
- dated pack TPG|2026-11-04: TPG: TPG Q3 2026 earnings — vendor-derived, no TPG press release confirms it (date confirmed=False)

What remains unverified

- **No fair value exists.** Neither bench produced one. This is why the verdict is defer.
- **Full-year earnings, in either direction.** The bear's \$2.76 came from annualizing one quarter of a seasonally back-loaded business. Neither bench corrected for that. We do not have a defensible number.
- **The cause of the 8/13 +8.5% single-day move.** Fully retraced, still unexplained.
- **Trading liquidity.** No average-volume data, so no defensible view on whether the recurring share supply is absorbable, and no volume-based size cap.

- **How TPG's fee-earnings multiple compares to peers.** The test that would convert this from a story into a price has not been run by anyone.
- **The balance sheet move.** +\$621M of debt against -\$394M of equity in six months, with the split between the parent company and consolidated fund vehicles unresolved.
- **Whether the credit business grew by winning mandates or by buying them.** The \$80B → \$101B credit growth is disclosed nowhere either bench could read.
- **The September TCAP date.** Inferred from cadence, not announced.
- **Reported fee-related and distributable earnings are company-defined measures** published in press releases and not present in the audited filing data. Not contradicted by anything — but not independently vetted either.
- **Whether TCAP is immune or merely early.** This is the honest crux. Our structural argument says the run cannot transmit; the actual repurchase series (0.40% → 1.70% → 1.30% → 2.10%) says pressure is building. September decides it.

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